

Extra exercises of Lecture 22

EX 1

Which of the following correctly describes financial crises?

- a) financial crises reduce adverse selection problems because all creditors are rationed
- b) financial crises disrupt financial markets, *and* the real economy
- c) financial crises always induce debt deflation
- d) none of the other

EX 2

When a debt deflation occurs, firms' net worth declines because:

- a) central bank increases the interest rates and thus the value of debt decreases
- b) as prices decline, the real value of corporate savings decreases
- c) asset prices do not increase (actually, they decrease) and liabilities increase in real terms
- d) consumer demand increases, thus consumers save less and reduce deposits at the banks

EX 3

During a financial crisis, what are the possible consequences of deleveraging:

- a) reduce the value of banks' assets
- b) decrease bank capital ratio (capital on loans)
- c) increase the value of banks' assets
- d) none of the others above

EX 4

Bank LowCapital has reserves of \$20, loans of \$110, deposits of \$90 and capital of \$40. \$50 of loans maturing tomorrow. Tomorrow, only \$30 of loans are repaid and the bank expects another loss of \$10 on remaining loans. The minimum level of bank capital required is 15% of loans.

How much of loans should the bank convert into reserves to have a capital ratio exactly equal to the minimum required percentage? Proxy results to the first decimal.

- a) \$13.3
- b) \$20.1
- c) \$11.9
- d) \$5.0